Which of the following authorities shall fix the remuneration of the auditor, if auditors are appointed by the SCEP?(companies ordinance, 1984)
Directors
Shareholders
Company Registrar
SECP

The small audit firms provide the following services EXCEPT:

Liquidation and receivership work, fraud auditing
Financial management and system consultancy
Financial system planning and preparation
Tax management and statutory form filling

Which of the following audit process determines that whether entity is following specific procedures, rules or regulations set down by some higher authority?
Technical audit
Financial statement audit
Compliance audit
Operational audit

Reliability of audit evidence is influenced by all of the following factors EXCEPT:
Source and the nature of the information
Timeliness
Objectivity
Quantity

Which statement cannot be highlighted as a merit of audit process?
It settles the dispute between management
It helps the auditor to give more constructive advice top management
Its help to restrict sole proprietor to by changing some fee
It gives strength to the company for acquiring the finance

For better assessing the audit risk, auditor inquires different groups in the organizations EXCEPT:
Board of governance and top level management
Legal counsel
Middle level management
Stakeholders

Which of the following is the least concern to an auditor regarding the client's internal control system?
Efficiency and effectiveness of operations
Controls related to the reliability of financial reporting
Controls over classes of transactions

Auditors are equally concern with each of the given issues

During test of control procedure its design can easily tested with the help of:
ICQs and walk through tests
ICQs and judgment sample
ICQs and random sample
ICQS and ICEC

Testing the Design:

Proper design of internal control is tested through ICQs and ICEC.

Internal source of audit evidence for an entity includes the following EXCEPT:
Associated companies of the entity
Accounting systems, records and documents
Non-financial data and records
Management representation and discussion

Associated company is not internal source.
An "Associated Company" is an entity in which the Company has significant influence, but not a controlling interest, over the operating and financial management policy decisions of the entity. Associated Companies are accounted for using the equity method. Significant influence is generally presumed when the Company holds between 20 percent and 50 percent of the voting rights.

Which of the following is TRUE?
The audit profession is unregulated
The audit profession is regulated by its own professional body
Outside bodies sometimes become involved in the regulation of audit profession
The audit profession is regulated only by the government